



NAIROBI BUSINESS VENTURES PLC

FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2024

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH 2024

	Note	2024 Shs	2023 Shs
Revenue	4	412,733,711	308,325,926
Cost of sales		<u>(397,799,419)</u>	<u>(291,538,146)</u>
Gross profit		14,934,292	16,787,780
Other income	5	16,978,703	15,967,632
Administrative expenses		<u>(5,784,385)</u>	<u>(16,915,170)</u>
Finance costs	6	<u>(44,211)</u>	<u>(604,777)</u>
Profit before tax	7	26,084,399	15,235,465
Tax (expense)/income	8	<u>(8,208,706)</u>	<u>(6,600,517)</u>
Profit for the year attributable to the owners of the Company		<u><u>17,875,693</u></u>	<u><u>8,634,948</u></u>

BALANCE SHEET AT 31ST MARCH 2024

	Note	2024 Shs	2023 Shs
EQUITY			
Share capital	9	676,855,967	676,855,967
Share premium	9	51,400,000	51,400,000
Accumulated losses		<u>(57,373,089)</u>	<u>(75,248,782)</u>
Total equity		<u><u>670,882,878</u></u>	<u><u>653,007,185</u></u>
REPRESENTED BY			
Non-current assets			
Property and equipment	12	1,393,159	1,046,304
Investment in subsidiaries	10	428,755,967	428,755,967
Intangible asset - goodwill		124,500,000	124,500,000
Deferred tax asset	16	<u>21,956,601</u>	<u>30,160,479</u>
		<u>576,605,727</u>	<u>584,462,750</u>
Current assets			
Inventories	11	5,549,609	14,558,327
Trade and other receivables	13	109,328,600	162,869,125
Cash and cash equivalents	14	<u>2,060,615</u>	<u>43,023,445</u>
		<u>116,938,824</u>	<u>220,450,897</u>
Current liabilities			
Trade and other payables	15	22,657,797	151,905,000
Current tax payable		<u>3,876</u>	<u>1,462</u>
		22,661,673	151,906,462
Net current assets		<u>94,277,151</u>	<u>68,544,435</u>
		<u><u>670,882,878</u></u>	<u><u>653,007,185</u></u>

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31ST MARCH 2024

	Note	2024 Shs	2023 Shs
Cash flows from operating activities			
Profit for the year		17,875,693	8,634,948
Adjustments for:			
Income tax expense/(income)		8,208,706	6,600,517
Depreciation of property and equipment	12	303,632	351,435
Unrealised foreign exchange loss/(gain)		44,211	(1,233,742)
Changes in operating assets and liabilities			
(Decrease)/increase in trade and other receivables		53,540,525	(105,428,921)
Decrease in inventories		9,008,718	1,454,219
(Decrease)/increase in trade and other payables		<u>(129,247,203)</u>	<u>126,865,599</u>
Cash (used in)/generated from operations		<u>(40,265,718)</u>	<u>37,244,055</u>
Income tax paid		<u>(2,414)</u>	<u>(1,466)</u>
Net cash (used in)/generated from operating activities		<u>(40,268,132)</u>	<u>37,242,589</u>
Cash flows from investing activities			
Purchase of property and equipment	12	<u>(650,487)</u>	-
Net cash used in investing activities		<u>(650,487)</u>	-
Cash flows from financing activities			
Proceeds from issue of ordinary shares		-	-
Net cash from financing activities		-	-
Net (decrease)/increase in cash and cash equivalents		(40,918,619)	37,242,589
Adjustment for unrealised exchange gain		(44,211)	1,233,742
Cash and cash equivalents at start of year		<u>43,023,445</u>	<u>4,547,114</u>
Cash and cash equivalents at end of year	14	<u><u>2,060,615</u></u>	<u><u>43,023,445</u></u>

Trading Environment

The year under review was a challenging one for the business environment especially with the economic slowdown experienced in the country and the high forex rates. Despite these challenges, the Company was able to deliver positive results overall. Group sales and other income increased from Kes. 909 million in 2023 to 924 million as at 31st March 2024. Profit Before Tax increased by 44% from Kes. 25 million in 2023 to Kes. 45 million for the year under review. To navigate these challenges, the Company implemented several strategic initiatives, including cost optimization measures and market expansion efforts, which played a crucial role in maintaining profitability. Furthermore, the Company's commitment to innovation and sustainability has helped in mitigating the adverse effects of the economic environment.

Despite the profit earned in the year ended 31st March 2024, the Directors do not recommend the payment of a Dividend.

Business Overview

Trading Division

In the period under review, NBV was able to generate Kes 412.7 million in revenue against Kes 308.3 million in the previous year. The growth in revenue was attributed to increased sales of sodium silicate products. Overall, the trading division contributed 45.48% of the total consolidated Group revenue.

Automobile Division

Delta Automobile recorded Kes 420.87 million in revenue in the period under review, compared with Kes 550.64 million turnover in the previous year. The reduction in sales was mainly attributed to a slowdown in the transport business of its customers. Overall, the Automobile division contributed 46.37% to the Group's total revenue.

Aviation Division

The division registered good growth to generate revenues amounting to Kes 73.97 million during the year compared to Kes 34.8 million in the previous year. The increase in income was attributed mainly to new business and additional leases at the hangar. Overall, the Aviation division contributed 8.15% to the Group's total revenue.

Outlook

We believe that 2024/25 financial year will be a better year in terms of performance especially in the Aviation Division. The Board and Management remain committed to executing our strategy and focusing on profitable ventures that will deliver value to our shareholders. Specific plans include expanding our service offerings in the aviation sector, enhancing our market reach, and continuing to optimize our operational efficiencies.

BY ORDER OF THE BOARD

VICTORIA CHEROTICH
COMPANY SECRETARY

ADDITIONAL DISCLOSURES

THE BOARD OF DIRECTORS OF NAIROBI BUSINESS VENTURES PLC IS PLEASED TO ANNOUNCE THE UNAUDITED FINANCIAL RESULTS OF THE GROUP AND COMPANY FOR THE TWELVE-MONTH PERIOD ENDED 31ST MARCH 2024 AS SET OUT BELOW

CONSOLIDATED AND COMPANY STATEMENTS COMPREHENSIVE INCOME FOR THE TWELVE-MONTHS PERIOD ENDED 31ST MARCH 2024				
KES '000	GROUP		COMPANY	
	MARCH 2024	MARCH 2023	MARCH 2024	MARCH 2023
Trading Business:				
Sales and Other Income	924,552	909,766	429,712	324,293
Direct and other operating costs	630,016	642,689	397,799	291,538
Gross Profit/(Loss)	294,536	267,077	31,913	32,755
Administrative and other costs	249,517	241,885	5,829	17,520
Profit Before Tax	45,019	25,192	26,084	15,235
CONSOLIDATED AND COMPANY STATEMENTS OF FINANCIAL POSITION AS AT 31ST MARCH 2024				
KES '000	GROUP		COMPANY	
	MARCH 2024	MARCH 2023	MARCH 2024	MARCH 2023
Portfolio Investments	-	-	428,756	428,756
Cash and Cash Equivalents	20,246	48,595	2,061	43,023
Inventory	505,541	406,098	5,550	14,558
Other assets	2,634,984	2,482,027	132,677	194,076
Goodwill (Business combination)	-		124,500	124,500
Total Assets	3,160,771	2,936,720	693,544	804,913
Borrowings	635,055	498,453	-	
Other liabilities	670,056	602,675	22,661	151,906
Total Liabilities	1,305,111	1,101,128	22,661	151,906
Total Equity	1,855,660	1,835,592	670,883	653,007
Share Premium				
Total Capital and Liabilities	3,160,771	2,936,720	693,544	804,913